

You are also expected to timely deposit the deducted money to the Income Tax Department. It is not straightforward. There is a process you need to follow to deduct taxes at the source.

Process of deducting taxes

The process of deducting taxes involves the following steps.

1. Investment Declaration

You need to ask employees to choose a tax regime and submit the provisional IT investment declaration at the beginning of the financial year. A tax regime cannot be changed during the year. If an employee does not choose a tax regime, the employer is required to deduct taxes according to the new tax regime.

